

an expert to guide them through the plan development process. This exercise will include assessing your net worth, which is nothing but what you are left with after adjusting your assets and liabilities. There are also many online DIY options that let you explore and build a plan for yourself, or modify them, if needed.

Other aspects, such as cash flow, or tracking your expenses and income, will help in budgeting, creating an emergency fund, savings, investing, taxes, retirement, children's education, buying a house and so on. The first step in financial planning is to identify potential financial risks and develop strategies to address them. Risks include unexpected medical expenses, loss of income, damage to your vehicle and even market fluctuations. By addressing these, you can safeguard your financial stability and ensure that unexpected events do not derail your financial goals.

THE BANK ACCOUNT MUST NOW BE A PASSKEY, YOU SHOULD MOVE MOST OF YOUR MONEY TO A LIQUID FUND TO WORK BETTER FOR YOU

Creating a financial plan also helps you understand and adjust your expectations as needed. This way, you do not set unrealistic targets or expect impossible miracles. You also make financial decisions that align with your unique circumstances. If you don't yet have a plan, start developing one to be on top of your finances and control your future.

MANAGING INSURANCE

The reduction in GST rates, especially on health insurance premiums, announced in September 2025 sounded very promising for policyholders. However, with several insurers increasing base insurance rates on policies, any significant premium reduction has been negated. This, however, should not be the reason to reduce your insurance cover. The rising healthcare costs don't really work in your favour either, especially if you are someone who needs medical care and insurance for financial support. Others could consider prioritising their health over ruing the rising costs of healthcare and medical insurance.

You have access to various types of life insurance. Review your existing policies and the scope of their cover. Evaluate your circumstances to determine whether to increase or maintain existing policies. You may also consider changing or modifying any nomination on your existing life policies based on your current circumstances. There are insurance repositories that allow you to register all your existing insurance policies in one place. Doing so will give you single-window access to all insurance policies, help you track when premium renewals are due, and also the cover you have.

BORROW SMARTLY

In 2025, the Reserve Bank of India cut benchmark rates by 125 basis points. For borrowers, this was a respite, as any cut in benchmark rates affects their borrowing costs. This is especially true for those with home loans, as EMIs decrease. Existing borrowers may not always benefit from lower rate, but new ones certainly do. The RBI's Financial Stability Report notes that the shift toward increased household borrowing, which stood at 41.3 per cent of the GDP, is a concern.

Easy access to loans is both a boon and a curse. With loans available for everything from clothes to holidays, in these times of instant gratification, you can hardly come across someone who isn't servicing

BENEFITS OF A FINANCIAL PLAN

- **CLARITY AND DIRECTION:** Helps you understand your current financial position and where you want to go
- **RISK MANAGEMENT:** Identifies potential risks and recommends mitigation strategies
- **GOAL-SETTING:** Allows you to set realistic financial goals and create a roadmap to meet them
- **OPTIMISATION:** Adjusts your finances to help you make the most of your money
- **PEACE OF MIND:** Provides confidence and assurance about your financial future